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Your JPE Submission

1 message

Journal of Political Economy <em@editorialmanager.com>
 Reply-To: Journal of Political Economy <jpe@press.uchicago.edu>
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Mon, May 8, 2023 at 3:34 PM

CC: aatkeson@g.ucla.edu

Ref.: MS 20230071
 Back to the 1980s or Not? The Drivers of Real and Inflation Risks in Treasury Bonds
 Journal of Political Economy
 May 08, 2023

Dear Carolyn,

Thank you for submitting your paper, "Back to the 1980s or Not? The Drivers of Real and Inflation Risks in Treasury Bonds" (MS 20230071), to the Journal of Political Economy. I have now received reviews from two referees who, I very much regret to inform you, advise me against publishing your paper.

I believe that you need to do more to distinguish the contribution here from that in your prior work. The reviewers' comments, which may be useful should you decide to submit the article elsewhere, are included.

I am sorry we will not be able to publish this paper in the JPE. Thank you for giving us the opportunity to consider your work.

Sincerely,
 Andy Atkeson
 Editor

Reviewer #1: Report on "Back to the 1980s or not? The drivers of real and inflation risk in treasury bonds," by Carolyn Pflueger.

This paper argues that the positive correlation between Treasury bond and stock excess returns in the 1980s was due to the prevalence of supply shocks, combined with the aggressive monetary policies of Paul Volcker to reduce inflation.

The paper is interesting, but it is quite dense and a bit unfocused. For example, take the very first sentence of the introduction: "Did the severe stagflation of the 1980s occur because the economy was subject to supply shocks or because the Volcker Fed raised interest rates and engineered a recession?" In my view, this question has little to do with the actual contribution of the paper. In fact, I think that it is well understood that the late 1970s and early 1980s were characterized by both (i) sizable supply shocks and (ii) aggressive monetary policy, which both contributed to the resulting stagflation—supply shocks lowered output and raised inflation, and monetary policy worsened the output drop in the attempt to fight inflation. Similarly, the popular narrative concerning the 1990s is that Greenspan continued to be aggressive against inflation, but his chairmanship was blessed with positive supply shocks (that he was quick to recognize).

The paper, instead, really asks whether both (i) and (ii) are needed to explain the risk of Treasury bonds (not the stagflation) in that period. I admit that the answer to this second question is less obvious. But I also still do not see why and how this second question might change our understanding of macro events around that time, and how we can use our answer to that question to "deal" with similar future events. To be clear, I am not trying to argue that answering the question about the risk of Treasury bonds is not interesting, but rather that the paper should explain much more clearly what we learn, beyond the fact that the specific asset pricing model proposed here is a good one (in the sense that it seems to fit the data fairly well).

Other comments

I think that the paper would benefit from being a bit shorter. For example, it takes a long time to get to the main counterfactual exercises, which, as far as I understand, are the main contribution of the paper. I realize that the material before section 5 might be important to build credibility in the model, but the discussion there is a bit too long.

I think that the paper should be more explicit in the literature review about what differentiates it from Campbell, Pflueger and Viceira (2020).

I was a bit puzzled by the estimation strategy. In the second step of the procedure (the moment-matching step), the parameter ζ is fixed at 0, i.e. wage setters are assumed to have fully rational expectations. Based on this assumption, the paper estimates volatilities and monetary policy parameters in the two subperiods. But then, in step 3, the parameter ζ is estimated using asset pricing data. This approach results into an estimate of $\zeta=0$ in the 2000s, which is consistent with step 2, but with $\zeta=0.6$ in the 1980s, which violates the assumption in step 2. Put differently, if $\zeta=0.6$ in step 2, would one end up with the same estimates of the volatility and monetary policy parameters? Presumably not, I would guess.

Purely editorial comment: Figures and tables should really go in the main text, not at the end of the paper.

Reviewer #2: This report can be viewed by logging on to the JPE Editorial Manager system at <https://www.editorialmanager.com/jpolec/>.

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 **Reviewer 2 Comments for Author.pdf**
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